NIGERIA COUNTRY OFFICE

- Market Functionality Index (MFI) –

Key findings for BAY States

OCTOBER 2024





COUNTRY MARKET ASSESSMENT : MFI IN A NUTSHELL

THE MARKET FUNCTIONALITY INDEX

The Market Functionality Index methodology provides a standardized assessment of the markets visited and quantifies the market functionality in a score per marketplace. It identifies weaknesses or areas that can be intervened to guarantee the continuity or effectiveness of the assistance.

SURVEY

This research used a methodology that relied on a standard survey to make a judgment statement about how different markets function. The dimensions of the survey were structured into nine classifications based on how the product was perceived by consumers. These dimensions are Assortment, Availability, Price, Resilience of Supply Chains, Competition, Infrastructure, Service, Food quality, and Access and Protection

SCORING

Markets are thus globally scored on a scale from 0 to 10 to allow worldwide comparability, where full market functionality (MFI=10) refers to a fully developed, efficient, and functional market. In most contexts where WFP operates, we do not expect such scores to be achieved.

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WEIGHT

The MFI considers three basic categories:

1) Cereal
2) Food items other than cereals
3) NFIs.

Cereal foods are considered more valuable by WFP to beneficiaries and thus weighted higher than non-cereal foods and NFIs. This means scores will be impacted more by cereals' measurements (assortment, availability, etc.) than non-cereal food and NFIs.

DATA COLLECTION

The Market Functionality Index Assessment in Nigeria was conducted across Borno, Adamawa, and Yobe (BAY) States. Data collection in Yobe State took place from the 9th to the 12th of July 2024, while in Borno and Adamawa States, it was conducted between the 8th and 25th of September 2024.

A total of 548 traders across 34 marketplaces were interviewed, resulting in 548 trader surveys and 34 market surveys being administered across the three states.

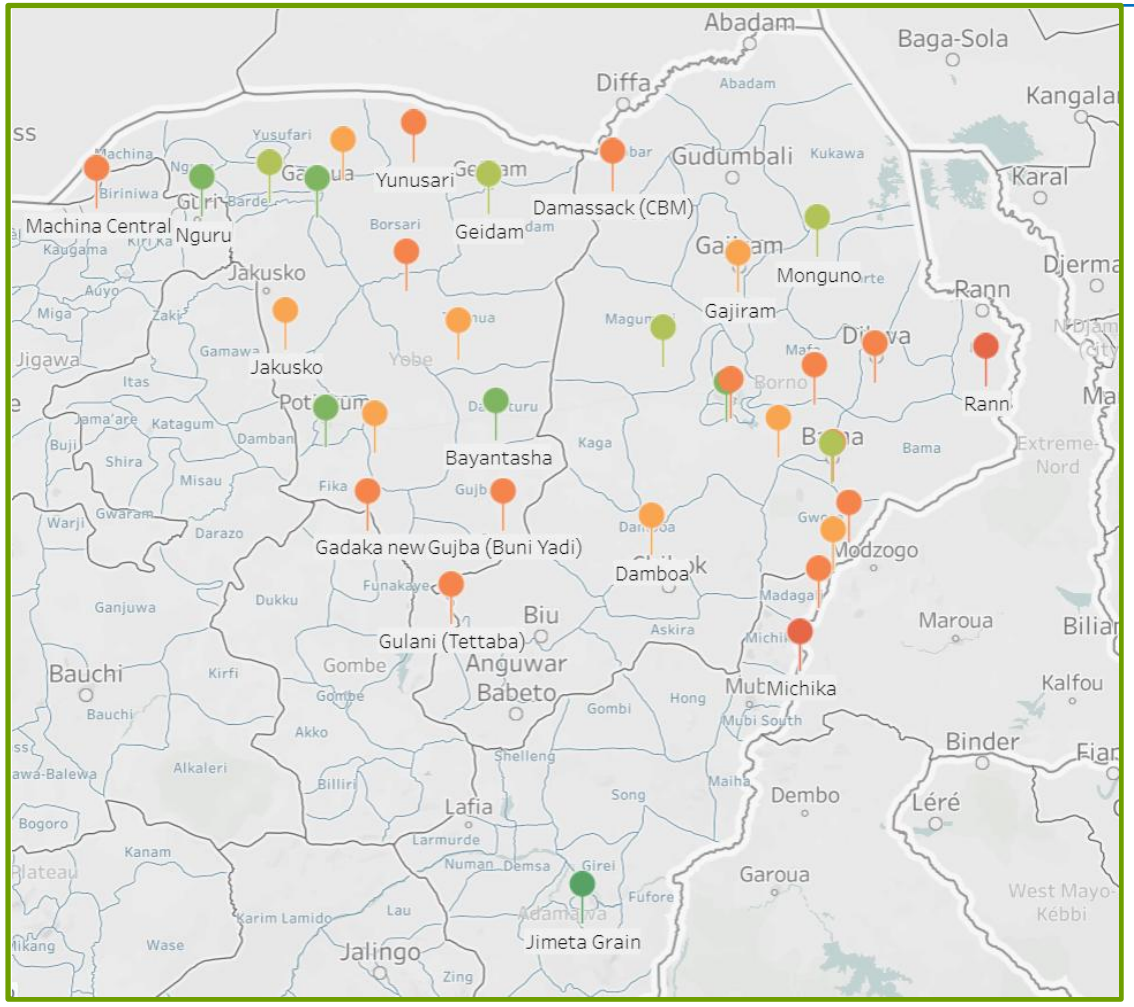
By state, 15 markets were assessed in Borno, 16 in Yobe, and 3 in Adamawa.

Details

Report findings have been divided into 9 key dimensions of a functioning market:

1. Assortment
2. Availability
3. Prices
4. Supply Chain Resilience
5. Competition
6. Infrastructure
7. Service
8. Food Quality
9. Access and Protection

COUNTRY MARKET ASSESSMENT : OVERVIEW



OVERVIEW

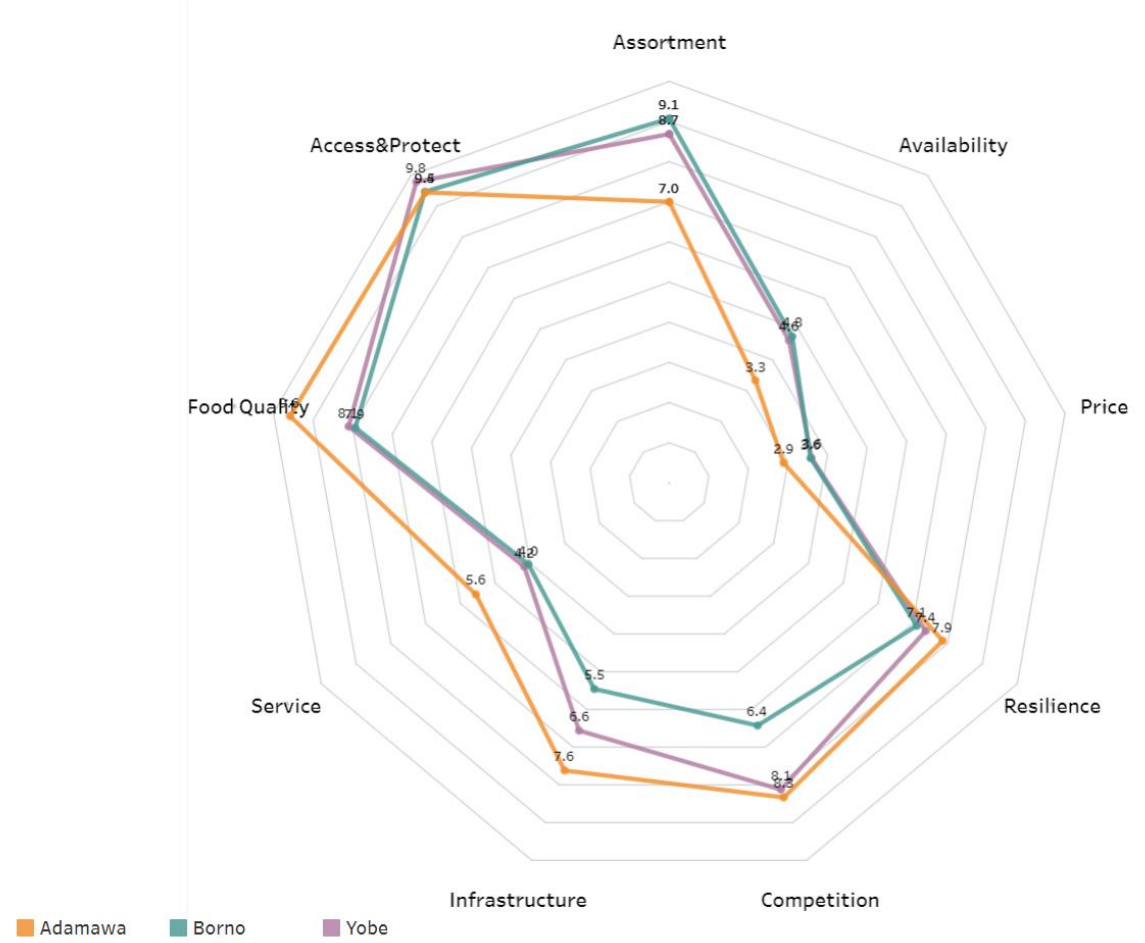
- The overall assessment of the three states—Adamawa, Borno, and Yobe—showed that six out of the nine evaluated dimensions, namely assortment, resilience, competition, infrastructure, food quality, and access and protection, achieved satisfactory scores ranging from 5.5 to 9.8 out of 10. This indicates that a variety of essential items were available in the markets, despite some challenges in maintaining consistent availability. These findings suggest that most markets are capable of responding effectively to demand when required. Additionally, the interaction among traders was observed to be commendable, with their shops generally ranging from moderate to good condition.

- A comparison of the three states—Adamawa, Borno, and Yobe—revealed that Yobe State markets performed the best, achieving a Market Functionality Index (MFI) score of 4.7 out of 10. However, this reflects a slight decline from the 2023 score of 4.9. Borno State markets recorded a lower score of 4.4 out of 10 in 2024. this is also associated with the recent floods which affect the major supply chain route and disruptions to market flow of demand and supply, In contrast, markets in Adamawa State showed significant improvement, with their score rising to 4.5 in 2024 from 3.2 in 2023.

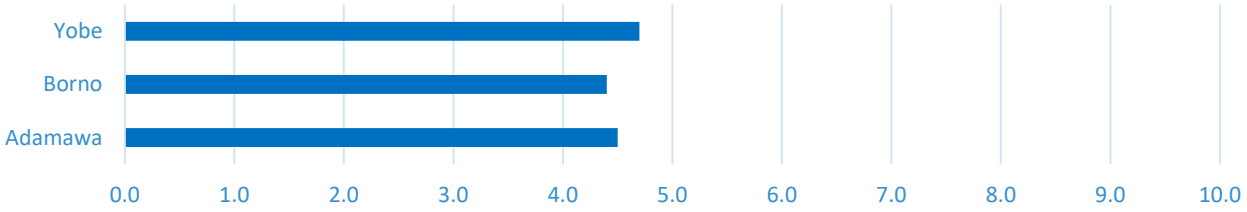
- The availability, price, and service dimensions were highlighted as areas of concern by the majority of traders. Many traders reported that certain products were either scarce or likely to become scarce in the near future, raising concerns about consistent supply. Price unpredictability and volatility were also frequently emphasized as significant challenges across most of the markets assessed, pointing to a need for careful and sustained monitoring of market trends. Regarding services, traders noted that customers' overall shopping experiences were suboptimal, indicating that improvements are needed to enhance customer satisfaction and create a more positive market environment.

State	Assortment	Availability	Price	Resilience	Competition	Infrastructure	Service	Quality	Access & Protection	Final MFI Score
Adamawa	7.0	3.3	2.9	7.9	8.3	7.6	5.6	9.6	9.4	4.5
Borno	9.0	4.6	3.6	7.3	6.4	5.5	4.0	7.9	9.5	4.4
Yobe	8.7	4.6	3.6	7.4	8.1	6.6	4.2	8.1	9.8	4.7

COUNTRY MARKET ASSESSMENT : OVERVIEW (cont'd)



MFI Final Score



Markets	MFI Results	Risk level
Bade (Gashua)	6.2	Low Risk
Bama	5.4	Medium Risk
Banki	3.8	Very High Risk
Biriri	4.5	Very High Risk
Bursari	3.7	Very High Risk
Custom	4.0	Very High Risk
Damagum	4.8	High Risk
Damasak	3.7	Very High Risk
Damaturu (Bayan Tash	6.7	Low Risk
Damboa	4.1	Very High Risk
Dikwa	3.9	Very High Risk
Gadaka	3.3	Very High Risk
Gajiram	4.0	Very High Risk
Geidam	5.3	Medium Risk
Gujba	3.4	Very High Risk
Gulani	3.9	Very High Risk
Gwoza	4.4	Very High Risk
Jajimaji	5.4	Low Risk
Jakusko	4.3	High Risk
Kala Balge	2.9	Very High Risk
Konduga	4.6	Medium Risk
Machina	3.5	Very High Risk
Madagali	3.5	Very High Risk
Mafa	3.7	Very High Risk
Magumeri	5.2	Very High Risk
Michika	2.9	Very High Risk
Monday	6.8	Low Risk
Munguno	5.8	Medium Risk
Ngala	0.0	Very High Risk
Nguru	6.5	Medium Risk
Postikum	6.7	Low Risk
Pulka	3.5	Very High Risk
Yola (Jimeta)	7.0	Low Risk
Yunusari	3.4	Very High Risk
Yusufari	4.2	Very High Risk

Risk Level

The risk levels for various markets are categorized as follows:

- **Low Risk**: The markets identified with low risk include Bade, Damaturu, Jajimaji, Maiduguri Monday Market, Potiskum, and Yola (Jimeta).

- **Medium Risk**: Markets with medium risk levels include Bama, Geidam, Konduga, Monguno, and Nguru.

- **High Risk**: Damagum and Jakusko are categorized as high-risk markets.

- **Very High Risk**: Markets classified under very high risk include Banki, Biriri, Bursari, Custom, Damasak, Damboa, Dikwa, Gadaka, Gajiram, Gujba, Gulani, Gwoza, Kala Balge, Machina, Madagari, Mafa, Magumeri, Michika, Ngala, Pulka, Yunusari, and Yusufari.

These categories reflect the varying levels of risk present in each market area, which are influenced by factors such as security, accessibility, and other local conditions.

MFI ASSESSMENT COMPARISON

Third quarter MFI Regional Result 2023

State	Assortment	Availability	Price	Resilience	Competition	Infrastructure	Service	Quality	Access & Protection	Final MFI Score
Adamawa	9.5	0.0	3.8	5.0	5.0	6.8	4.2	8.8	10.0	3.2
Borno	8.9	4.6	4.8	6.8	7.5	6.0	3.9	8.4	9.7	4.9
Yobe	9.4	4.2	3.5	7.5	9.0	7.1	4.9	9.0	9.0	4.9

Third quarter MFI Regional Result 2024

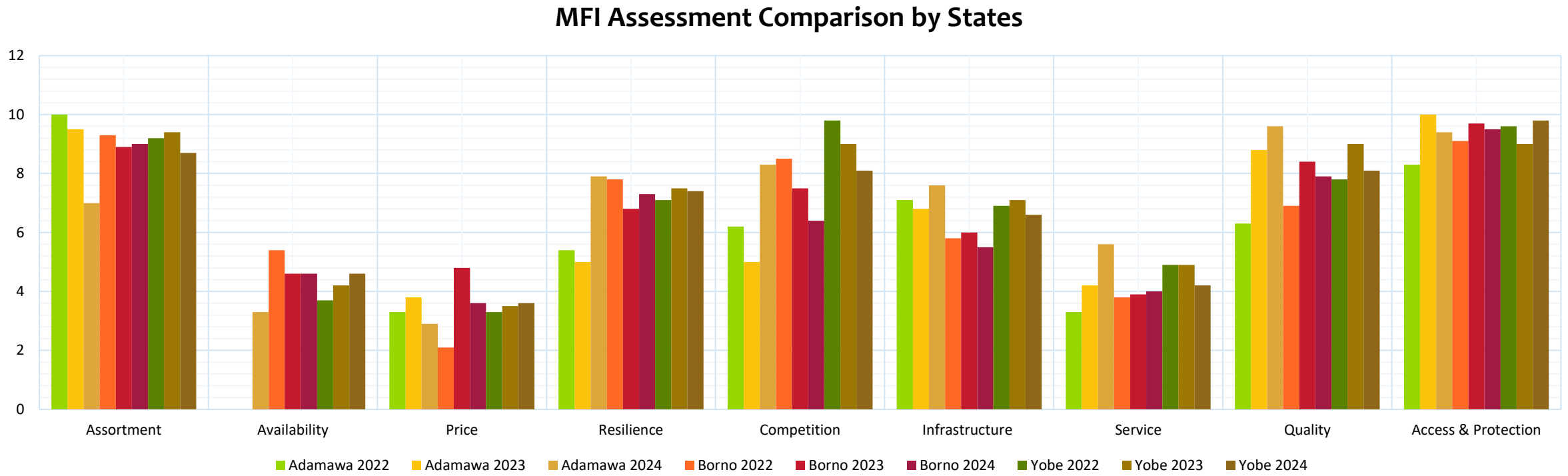
State	Assortment	Availability	Price	Resilience	Competition	Infrastructure	Service	Quality	Access & Protection	Final MFI Score
Adamawa	7.0	3.3	2.9	7.9	8.3	7.6	5.6	9.6	9.4	4.5
Borno	9.0	4.6	3.6	7.3	6.4	5.5	4.0	7.9	9.5	4.4
Yobe	8.7	4.6	3.6	7.4	8.1	6.6	4.2	8.1	9.8	4.7

The findings from the MFI 2024 reveal a general decline in market performance across most states, with Borno and Yobe exhibiting a slight decrease in their scores, dropping from 4.9 to 4.4 and 4.7, respectively. This reflects a downward trend in most of the 9 dimensions of the MFI.

However, Adamawa State stands out with a notable improvement, increasing its score from 3.2 in 2023 to 4.5 in 2024. This growth is particularly significant in several dimensions, including Assortment, Availability, Resilience, Competition, Infrastructure, Services, and Quality, all of which saw a rise compared to the previous year.

Overall, the data highlights a positive shift for Adamawa while showing a decline in other states like Borno and Yobe in 2024.

MFI ASSESSMENT COMPARISON CONT'D



The 2024 assessment of market conditions highlights three key observations:

1. Commodity Availability vs. Low Consumer Demand: While most commodities were available in the markets, many traders reported low consumer demand. This suggests that although supply remained steady, consumers were either unable or unwilling to purchase goods due to high prices.
2. Scarcity and Risk of Stockouts: Some commodities were either scarce or at risk of running out of stock. This scarcity was attributed to rising prices and increased fuel costs, both of which have impacted the cost of goods and disrupted supply chains.
3. Unpredictability of Commodity Prices: Traders have faced challenges due to the unpredictability of commodity prices. Prices are liable to change even after orders are placed, making it difficult for traders to forecast costs and plan their purchases accordingly.

These findings align with the MFI guidance, which underscores the importance of periodic assessments to capture such variations. Seasonal shifts and external factors, such as price fluctuations and rising fuel costs, are influencing market dynamics and contributing to the observed instability.

MFI ASSESSMENT COMPARISON CONT'D

Markets	Year 2023	Year 2024	Difference
Bade (Gashua)	6.1	6.2	0.10
Bama	6.3	5.4	0.90
Banki	5.0	3.8	1.20
Biriri	3.2	4.5	1.30
Bursari	5.7	3.7	2.00
Custom	7.1	4.0	3.10
Damagum	3.5	4.8	1.30
Damasak	4.2	3.7	0.50
Damaturu (Bayan Tasha)	6.8	6.7	0.10
Damboa	5.5	4.1	1.40
Dikwa	4.2	3.9	0.30
Gajiram	3.6	4.0	0.40
Geidam	6.6	5.3	1.30
Gujba	5.6	3.4	2.20
Gulani	3.8	3.9	0.10
Gwoza	5.1	4.4	0.70
Jajimaji	4.0	5.4	1.40
Jakusko	3.7	4.3	0.60
Kala Balge	3.3	2.9	0.40
Konduga	5.2	4.6	0.60
Machina	3.6	3.5	0.10
Madagali	3.0	3.5	0.50
Mafa	5.1	3.7	1.40
Magumeri	2.3	5.2	2.90
Michika	3.3	2.9	0.40
Monday	5.7	6.8	1.10
Munguno	5.1	5.8	0.70
Ngala	4.2	-	4.20
Nguru	4.3	6.5	2.20
Postikum	6.9	6.7	0.20
Pulka	5.0	3.5	1.50
Yola (Jimeta)	-	7.0	7.00
Yunusari	4.0	3.4	0.60
Yusufari	4.9	4.2	0.70

Market Performance

On a scale of 1 to 10, the findings from the MFI 2024 indicate an average improvement of 0.12 across the markets in Adamawa, Borno, and Yobe when compared to 2023. This slight improvement suggests a general positive trend in the market conditions in these states, though the degree of change varies across the regions.

However, a notable exception is Borno state, where market conditions deteriorated in 2024 compared to the previous year. This decline can be primarily attributed to the incidence of flash flooding, which severely impacted the businesses of traders. The flooding caused significant damage to infrastructure and disrupted the flow of goods, leading to a loss of livelihoods for many traders. This environmental challenge has played a major role in the negative shift observed in Borno's market performance, highlighting the vulnerability of local economies to natural disasters and their capacity to disrupt commerce.

FINDINGS BY MFI DIMENSION : ASSORTMENT

ASSORTMENT

The assortment of essential goods answers to two questions:

1. Can beneficiaries find all of their essential needs in the market?
2. Do they have a wide range of choices?

Essential needs refer to what households require to ensure minimum living standards (items such as food, shelter, basic household items, safe drinking water, sanitation, and hygiene or healthcare). To evaluate choice, the MFI investigates the maximum number of commodities or Stock Keeping Units (SKUs) sold in outlets in the market.

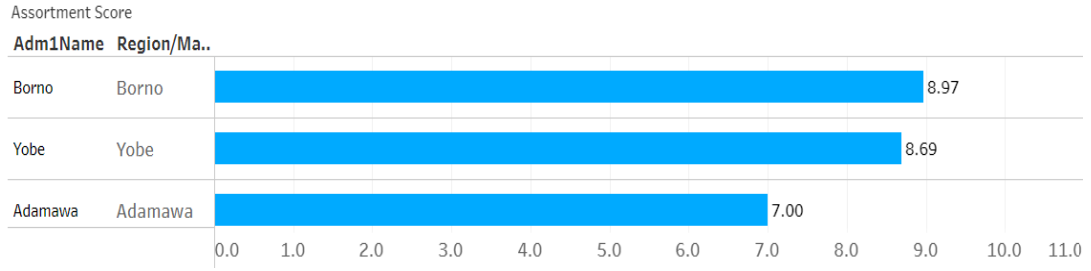
KEY FINDINGS

The three basic product categories that represent the essential needs and minimum living standards of households—cereals, non-cereals, and non-food items (NFIs)—were generally available in most markets. However, findings from the assessment revealed a significant variation in market assortment scores due to external factors.

The lowest assortment score of 0 was observed in the Ngala Central market, as no data was recorded for this location due to flooding. Similarly, Michika scored just 4 out of 10, primarily due to limited access to the market caused by flooding during that period.

At the state level, the analysis of assortment scores showed Borno leading with the highest score of 8.97, followed by Yobe at 8.69. Adamawa had the lowest score at 7, indicating a lower level of product diversity compared to the other two states. This overall decrease in the assortment scores across all states, compared to the previous year, can largely be attributed to the combined effects of high inflation rates which disrupted traders' capital, and natural disasters such as flooding in certain local government areas (LGAs), which hindered the availability and accessibility of goods in the markets.

SCORE BY REGION



Assortment Score by Markets

Markets	Assortment
Madagali	9.00
Michika	4.00
Yola (Jimeta)	8.00
Bama	8.00
Banki	10.00
Custom	7.50
Damassak	10.00
Damboa	9.00
Dikwa Central Market	10.00
Gajiram	8.00
Gwoza Central Market	10.00
Konduga	10.00
Mafa	7.00
Magumeri	10.00
Monday	8.00
Monguno	10.00
Ngala	0.00
Pulka	10.00
Rann	7.00
Bade (Gashua)	9.00
Bayantasha	10.00
Biriri	9.00
Bursari	10.00
Damagum	8.00
Geidam	8.00
Gadaka	8.00
Gujba (Buni Yadi)	8.00
Gulani (Tettaba)	9.00
Jajimaji	10.00
Jakusko	6.00
Machina	9.00
Nguru	10.00
Potiskum	10.00
Yunusari	6.00
Yusufari	9.00

FINDINGS BY MFI DIMENSION : AVAILABILITY

AVAILABILITY

Availability is the physical presence of goods in sufficient quantities, thus adequate supplies in a functioning market. Availability answers to two questions:

1. Are there any key products that are scarce?
2. Are there any key products which are already running out?

Availability assesses whether certain products are scarce or likely to become scarcer in the short run.

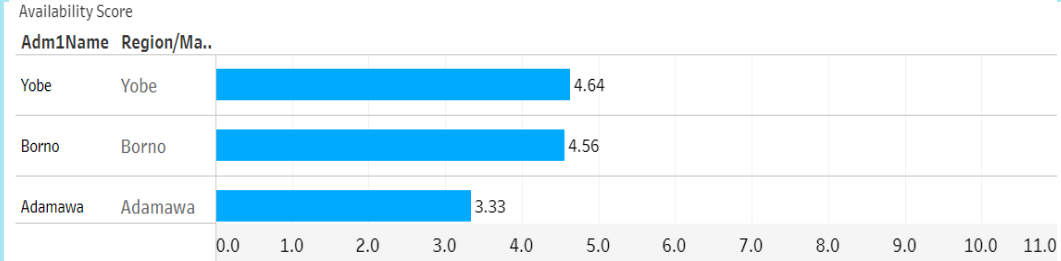
KEY FINDINGS

The findings from the assessment reveal a dynamic picture of the availability dimension of the MFI across various markets. The markets in Yola (Jimeta), Damasak, Magumeri, Monguno, and Nguru achieved the highest score of 10/10, indicating excellent availability of goods. Markets such as Konduga, Monday Market, Potiskum, Damaturu, and Biriri scored between 6.7 and 8.3, reflecting relatively good availability. However, the remaining markets scored between 5.8 and 0, showing significant challenges in commodity availability.

While most commodities were found in the markets, many traders—particularly in those scoring below 6—reported that some products were either scarce or at risk of running out of stock.

The state-level analysis showed that Adamawa had the lowest availability score at 3.33, followed by Borno with 4.56, and Yobe had the highest score at 4.64. The challenges in the availability of food and non-food items were attributed to rising inflation, which increased the prices of goods, and the higher fuel costs, which further disrupted supply chains and transportation.

SCORE BY REGION



Availability Score by Markets

Markets	Availability
Madagali	0.00
Michika	0.00
Yola (Jimeta)	10.00
Bama	5.00
Banki	4.20
Custom	1.70
Damassak	10.00
Damboa	1.70
Dikwa Central Market	5.00
Gajiram	1.70
Gwoza Central Market	1.70
Konduga	6.70
Mafa	1.70
Magumeri	10.00
Monday	6.70
Monguno	10.00
Ngala	0.00
Pulka	0.80
Rann	1.70
Bade (Gashua)	5.00
Bayantasha	8.30
Biriri	8.30
Bursari	1.70
Damagum	4.20
Geidam	3.30
Gadaka	0.00
Gujba (Buni Yadi)	3.30
Gulani (Tettaba)	7.50
Jajimaji	5.80
Jakusko	2.50
Machina	0.00
Nguru	10.00
Potiskum	6.70
Yunusari	1.70
Yusufari	5.80

FINDINGS BY MFI DIMENSION : PRICE

PRICE

Affordable, stable, predictable prices are key characteristics of functioning markets. The price dimensions answers two questions:

1. Were there significant price increases in the past month?
2. Are prices predictable or are they subject to unpredictable variations?

The price dimension assess stability of prices and the nature of any price changes. The critical aspect is unpredictability rather than variability itself. In markets with high seasonal changes, volatility can be largely predictable and, thus, not necessarily harmful because market players know how to adjust.

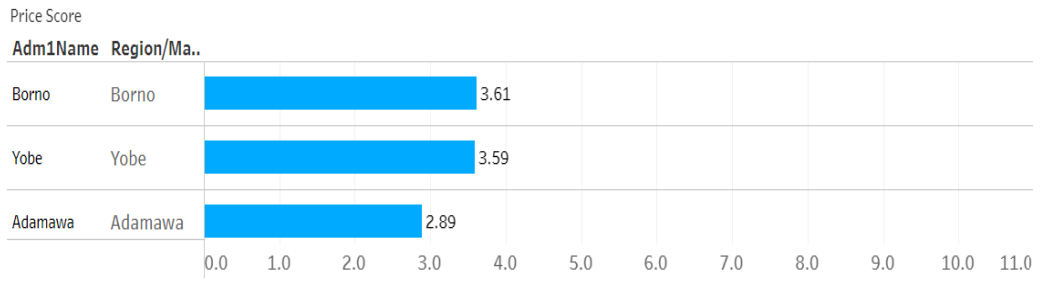
KEY FINDINGS

The price dimension of the assessment showed the lowest scores across all markets in Borno, Adamawa, and Yobe (BAY) states. Most traders expressed significant concern about the rising prices of both food and non-food products, with many unable to predict prices due to disruptions caused by flooding in various areas during the assessment period.

The average score for most markets ranged from 0 to 5, with the highest scores of 5.8 observed in the Yola, Gajiram, Gwoza, Bursari, Jakuso, and Potiskum markets.

On an aggregate level, Adamawa and Yobe states scored 2.89 and 3.59, respectively, while Borno markets achieved the highest score of 3.61. These low scores are likely attributed to various economic challenges, including the consistent increase in fuel prices, and high transportation costs, all of which have contributed to rising prices and market instability.

SCORE BY REGION



Price Score by Markets

Markets	Price
Madagali	0.80
Michika	2.00
Yola (Jimeta)	5.80
Bama	5.00
Banki	0.00
Custom	4.20
Damassak	0.00
Damboa	3.30
Dikwa Central Market	1.70
Gajiram	5.80
Gwoza Central Market	5.80
Konduga	2.50
Mafa	4.20
Magumeri	5.00
Monday	5.00
Monguno	5.00
Ngala	0.00
Pulka	2.50
Rann	5.00
Bade (Gashua)	4.20
Bayantasha	5.00
Biriri	0.80
Bursari	5.80
Damagum	5.00
Geidam	3.30
Gadaka	2.50
Gujba (Buni Yadi)	0.80
Gulani (Tettaba)	0.00
Jajimaji	5.00
Jakusko	5.80
Machina	5.00
Nguru	4.20
Potiskum	5.80
Yunusari	0.80
Yusufari	3.30

FINDINGS BY MFI DIMENSION : SUPPLY CHAIN RESILIENCE

SUPPLY CHAIN RESILIENCE

The resilience dimension evaluates responsiveness of supply chains and their resilience or vulnerability to shock. The score addresses two questions:

1. How responsive are supply chains to shock in demand?
2. How vulnerable is the Supply Chain?

Responsiveness of supply chains is measured by stock and lead time. A shorter lead time helps a trader adjust to changing demand more rapidly and to be aware of upstream supply chain disruptions earlier. Additionally, a shorter lead time is associated with lower stocks.

The MFI, thus, takes a separate look at buffer stocks, rating their level as adequate or not (i.e. sufficient for 1 week) and ability to restock rapidly.

The MFI also evaluates the suppliers traders rely on. The score considers location and number of supply sources. Supply chains are more resilient with more supply sources and geographically dispersed suppliers.

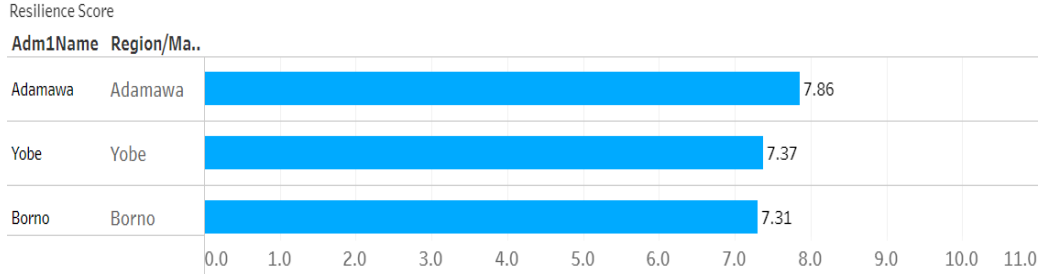
KEY FINDINGS

The supply chains of all the assessed markets are generally resilient, meaning they are able to adapt to changing demands. However, markets such as Madagali, Gajiram, Dikwa, Gwoza, Konduga, Magumeri, Ngala, Kala Balge, Damagum, Gujba, Jakusko, Machina, and Yunusari scored between 0 and 6.3. This suggests that the suppliers for traders in these markets are often concentrated in the same geographic area. As a result, any disruption to the supply chain in this region could impact all these markets simultaneously.

In contrast, other markets performed better, scoring between 6.7 and 10. These markets demonstrate more robust supply chain resilience, with traders benefiting from multiple supply sources that are geographically spread out, allowing for shorter lead times to restock when products run low or demand surges.

At the aggregate level, Adamawa state had the highest score of 7.86, followed by Yobe with a score of 7.37. Borno markets recorded the lowest score of 7.31, indicating some challenges in the geographic distribution and efficiency of supply sources compared to the other states.

SCORE BY REGION



Supply Chain Resilience Score by Markets

Markets	Resilience
Madagali	5.00
Michika	8.60
Yola (Jimeta)	10.00
Bama	8.30
Banki	7.10
Custom	10.00
Damassak	7.50
Damboa	10.00
Dikwa Central Market	5.80
Gajiram	6.30
Gwoza Central Market	6.30
Konduga	6.30
Mafa	6.70
Magumeri	4.20
Monday	9.20
Monguno	7.50
Ngala	0.00
Pulka	7.50
Rann	5.80
Bade (Gashua)	8.30
Bayantasha	7.10
Biriri	7.50
Bursari	7.90
Damagum	5.00
Geidam	8.80
Gadaka	8.30
Gujba (Buni Yadi)	5.80
Gulani (Tettaba)	8.80
Jajimaji	8.80
Jakusko	6.30
Machina	5.00
Nguru	8.80
Potiskum	8.80
Yunusari	6.30
Yusufari	6.70

FINDINGS BY MFI DIMENSION : COMPETITION

COMPETITION

Competition among market participants characterizes a functioning market. This dimension investigates if the business environment is conducive to fair competition, which is typically the case when there are enough traders in the marketplace with equal to varying power.

The Competition score addresses two questions:

1.Is there sufficient competition within the market? *Are there more than 5 players?*

2.Does a trader control the market? *Is there a monopoly?*

These two conditions should lower the risk for few traders to build an monopoly, set prices and profit disproportionally from a potential introduction of cash-based transfers

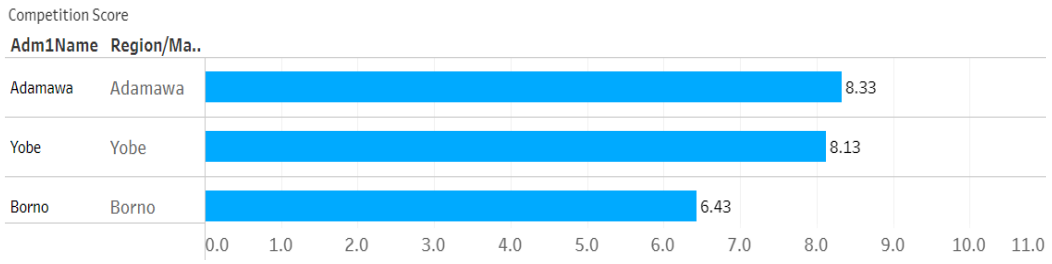
KEY FINDINGS

The market assessment on the competition dimension indicates that most markets achieved average or above-average scores, reflecting a generally conducive environment for fair competition. A diverse presence of traders across the key categories of cereals, non-cereals, and non-food items (NFIs) supports a competitive market structure and prevents monopolistic practices.

Nevertheless, some markets face significant challenges. Damasak, Ngala, and Kala Balge scored 0 out of 10, highlighting severe issues in fostering competition. Additionally, Bama, Bursari, Gulani, and Yusufari scored below 5.0, further underscoring weaknesses in these areas.

On an aggregate level, Adamawa State markets led with the highest score of 8.3, followed by Yobe at 8.13, while Borno recorded the lowest score of 6.43. These results reveal clear regional disparities, with Adamawa and Yobe demonstrating stronger competitive market dynamics than Borno. Addressing the barriers in low-performing markets is essential to ensure a more equitable and competitive business environment across the region.

SCORE BY REGION



Competition Score by Market

Markets	Competition
Madagali	10.00
Michika	5.00
Yola (Jimeta)	10.00
Bama	3.30
Banki	10.00
Custom	0.00
Damassak	5.00
Damboa	7.50
Dikwa Central Market	5.00
Gajiram	5.00
Gwoza Central Market	5.00
Konduga	5.00
Mafa	5.00
Magumeri	5.00
Monday	10.00
Monguno	10.00
Ngala	0.00
Pulka	9.20
Rann	0.00
Bade (Gashua)	9.20
Bayantasha	10.00
Biriri	10.00
Bursari	0.80
Damagum	9.20
Geidam	10.00
Gadaka	9.20
Gujba (Buni Yadi)	8.30
Gulani (Tettaba)	1.00
Jajimaji	5.80
Jakusko	8.30
Machina	9.20
Nguru	10.00
Potiskum	10.00
Yunusari	8.30
Yusufari	1.70

FINDINGS BY MFI DIMENSION : INFRASTRUCTURE

INFRASTRUCTURE

The infrastructure dimension assesses the type and condition of the physical structures which host shops in addition to sewage systems, electricity and communication networks in the market premises. Infrastructure addresses:

1. What is the overall condition of the shops where customers shop?

2. What infrastructure is available in and around the shops?

For question 1, the methodology scores the market based on the state of the shops population evaluated according to three categories: Poor state and severe maintenance issues, medium state (minor maintenance issues) and Good state.

For question 2, the methodology verifies the presence of the following services in the market premises:

- A closed sewage system
- A dedicated waste collection area
- Walkways and emergency exit(s)
- Shelter
- Uninterrupted electricity
- Reliable communication network (mobile phone coverage and/or internet)
- Water availability (manual pump or tap in close proximity of each vendor, i.e. max 5 min walking)
- Toilets

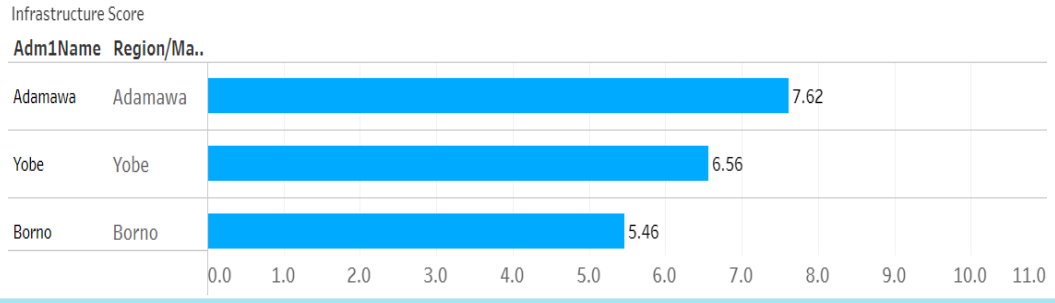
KEY FINDINGS

Market infrastructure, including storage and physical facilities, plays a critical role in preserving goods, maintaining quality, and enabling efficient trading. Markets such as Custom, Damboa, Biriri, Gajiram, Gwoza, Mafa, Magumeri, Ngala, Pulka, Damagum, Jakusko, and Yunusari scored poorly (0 to 4.3) in this dimension due to inadequate amenities like electricity, proper toilets, water supply, and waste collection systems.

In contrast, markets with scores ranging from 5.0 to 10 demonstrated relatively better infrastructure, with minor maintenance issues and the presence of essential facilities such as toilets, communication networks, and water access.

At the state level, Adamawa performed best with a score of 7.62, followed by Yobe at 6.56, while Borno scored the lowest at 5.46, reflecting varying levels of infrastructure development across the regions.

SCORE BY REGION



Infrastructure Score by Market

Markets	Infrastructure
Madagali	9.30
Michika	5.00
Yola (Jimeta)	8.60
Bama	9.30
Banki	7.10
Custom	0.00
Damassak	7.90
Damboa	2.90
Dikwa Central Market	4.30
Gajiram	4.30
Gwoza Central Market	4.30
Konduga	5.70
Mafa	2.10
Magumeri	3.60
Monday	8.60
Monguno	5.00
Ngala	0.00
Pulka	4.30
Rann	6.40
Bade (Gashua)	10.00
Bayantasha	6.40
Biriri	9.30
Bursari	7.90
Damagum	2.90
Geidam	5.00
Gadaka	5.70
Gujba (Buni Yadi)	5.00
Gulani (Tettaba)	9.30
Jajimaji	7.10
Jakusko	3.60
Machina	8.60
Nguru	7.90
Potiskum	7.10
Yunusari	2.10
Yusufari	7.10

FINDINGS BY MFI DIMENSION : SERVICE

SERVICE

The service dimension looks at the service provided while shopping as well as during check-out. The level of service is directly or indirectly associated with different features of a functioning market such as transparency, competition, or reliability.

The more competitive the market environment, the higher incentive for retailers to provide the best value to customers; otherwise, these might shop somewhere else.

The service dimension addresses:

1. How is the customers' overall shopping experience?
2. How is the check-out experience?

The methodology includes in the shopping experience the following elements: overall shop organization – which influences how easy it is to find products; price transparency – tags; possibility to shop remotely. Similarly, we consider customers' check-out experience based on the following elements: accepted forms of payments, waiting time at check out, and itemized receipts.

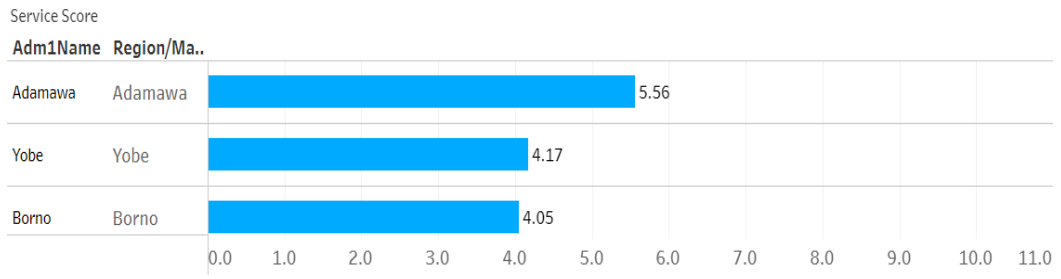
KEY FINDINGS

The service dimension, evaluating the shopping and checkout experience, revealed low scores across all assessed markets, with most scoring 5.0 or below out of 10, except for Madagali market, which scored 6.7.

In terms of the shopping experience, traders generally displayed products for easy identification and selection, but most lacked visible price tags and remote shopping options. The checkout experience was slightly better, with most traders offering multiple payment methods and keeping customer wait times under 10 minutes.

At the state level, Adamawa scored the highest with 5.56, followed by Yobe at 4.17, and Borno at 4.05, highlighting regional disparities in customer service standards.

SCORE BY REGION



Service Score by Market

Markets	Service
Madagali	6.70
Michika	5.00
Yola (Jimeta)	5.00
Bama	3.30
Banki	5.00
Custom	0.00
Damassak	5.00
Damboa	5.00
Dikwa Central Market	5.00
Gajiram	3.30
Gwoza Central Market	3.30
Konduga	5.00
Mafa	3.30
Magumeri	3.30
Monday	5.00
Monguno	3.30
Ngala	0.00
Pulka	3.30
Rann	3.30
Bade (Gashua)	5.00
Bayantasha	5.00
Biriri	5.00
Bursari	3.30
Damagum	3.30
Geidam	5.00
Gadaka	3.30
Gujba (Buni Yadi)	3.30
Gulani (Tettaba)	3.30
Jajimaji	3.30
Jakusko	3.30
Machina	5.00
Nguru	5.00
Potiskum	5.00
Yunusari	5.00
Yusufari	3.30

FINDINGS BY MFI DIMENSION : FOOD QUALITY

FOOD QUALITY

In many marketplaces, food may be available in sufficient quantities, but the quality of this food may vary. The availability of food unsafe for human consumption is no better – even worse, in some instances – than the unavailability of food. The MFI examines food quality against key principles of hygiene and cleanliness, material separation, temperature control and stock management. Essentially, the survey examines 8 key conditions for shops:

1. Is food protected from contaminants?
2. Are fresh fruits and vegetables in the shops well-separated from raw meat, poultry, fish or seafood?
3. Is food that requires refrigeration properly refrigerated?
4. Is refrigeration in the shops always working?
5. Is food for sale in the shop not expired?
6. Are processed pre-packaged foods in the shops intact and in properly labelled containers?
7. Is food in the shops free of visible signs of spoilage and bad smells?
8. Are food packages intact and free from signs of decay or damage?

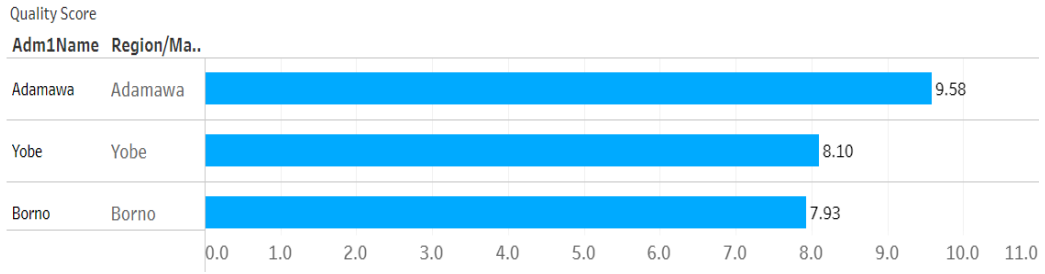
KEY FINDINGS

The food quality dimension findings revealed that most markets reported minimal food quality issues, with MFI scores ranging from 6.3 to 10.0, attributed to cleanliness, hygiene, and proper material separation. However, four markets faced moderate to high food quality challenges, scoring between 0 and 5.

Key issues included the sale of expired food in labeled containers and processed prepackaged foods that were either not intact or improperly labeled.

At the aggregate level, Adamawa State scored the highest at 9.58, followed by Yobe at 8.10, and Borno at 7.93, reflecting varying levels of adherence to food quality standards across the states.

SCORE BY REGION



Food Quality Score by Market

Markets	Food Quality
Madagali	10.00
Michika	8.80
Yola (Jimeta)	10.00
Bama	10.00
Banki	10.00
Custom	0.00
Damassak	6.30
Damboa	5.00
Dikwa Central Market	6.30
Gajiram	8.80
Gwoza Central Market	8.80
Konduga	5.00
Mafa	8.60
Magumeri	7.50
Monday	10.00
Monguno	10.00
Ngala	0.00
Pulka	7.50
Rann	8.80
Bade (Gashua)	10.00
Bayantasha	8.80
Biriri	8.80
Bursari	7.10
Damagum	8.80
Geidam	7.50
Gadaka	7.50
Gujba (Buni Yadi)	6.30
Gulani (Tettaba)	8.80
Jajimaji	7.50
Jakusko	6.30
Machina	7.50
Nguru	8.80
Potiskum	7.50
Yunusari	10.00
Yusufari	8.80

FINDINGS BY MFI DIMENSION : ACCESS & PROTECTION

ACCESS & PROTECTION

Safe access to the marketplace is a crucial dimension of market functionality. Access addresses two key questions:

1. Are beneficiaries and customers able to reach markets?
2. Are there fragile groups facing threat and protection issues accessing the market? Or are there any general security concerns?

The MFI weights Access and Protection issues by severity. For access it weights based on the level of severity: is it hard to get to the market because of road infrastructure, or is access limited due to seasonal events? Were there natural disasters preventing customers' access more permanently? The higher the weight the more permanent the access issues.

The protection rationale is similar: issues are weighted according to the fraction of the population impacted: Are there social barriers? Are there protection issues limited to a marginalized group?

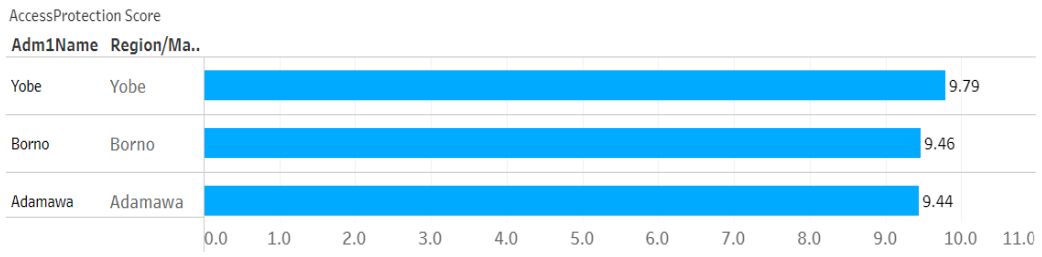
KEY FINDINGS

The Access and Protection dimension of the assessment revealed that, overall, market functionality was not significantly impacted by access or protection issues. Most markets scored between 5.8 and 10, indicating that these markets were largely accessible to customers and provided adequate protection to both traders and consumers. The results suggest that beneficiaries and customers generally faced little to no barriers when accessing the markets, and there were no significant safety concerns.

However, Custom and Ngala markets were notable exceptions, scoring 0 due to flooding during the assessment period. The flood disrupted access to these markets, making them exceptions to the otherwise positive trends in market access and protection.

At the aggregate level, Yobe State performed the best with a score of 9.79, indicating excellent access and protection conditions. Borno State followed closely with a score of 9.46, while Adamawa State scored slightly lower at 9.44. These scores reflect a generally strong market infrastructure that supports easy access and protects customers and traders across the three states, with only localized issues in specific markets like Custom and Ngala due to external factors such as flooding.

SCORE BY REGION



Access & Protection Score by Market

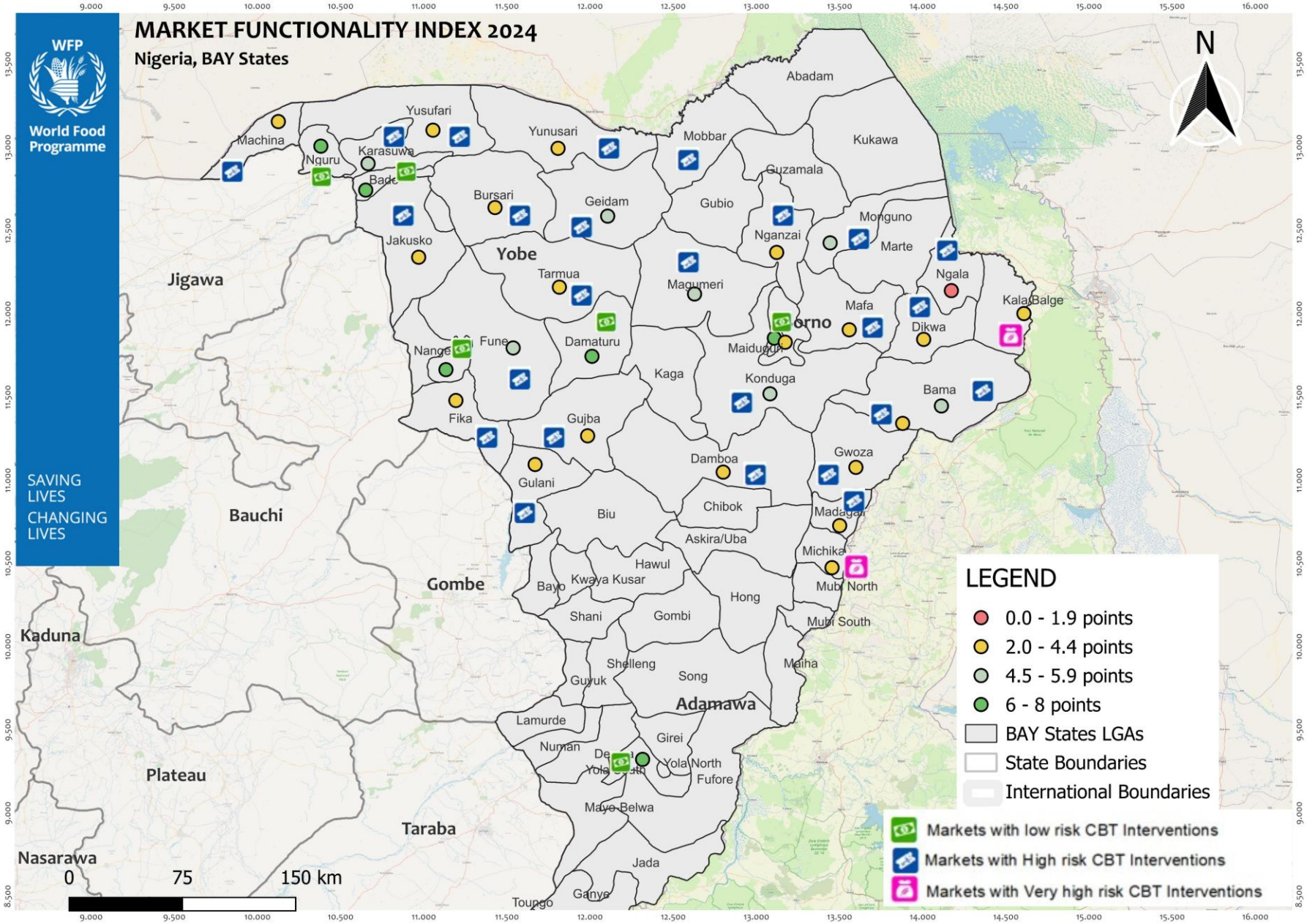
Markets	Access & Protection
Madagali	8.30
Michika	10.00
Yola (Jimeta)	10.00
Bama	10.00
Banki	10.00
Custom	0.00
Damassak	10.00
Damboa	10.00
Dikwa Central Market	8.30
Gajiram	10.00
Gwoza Central Market	10.00
Konduga	10.00
Mafa	9.20
Magumeri	10.00
Monday	10.00
Monguno	10.00
Ngala	0.00
Pulka	5.80
Rann	10.00
Bade (Gashua)	10.00
Bayantasha	10.00
Biriri	10.00
Bursari	10.00
Damagum	10.00
Geidam	10.00
Gadaka	10.00
Gujba (Buni Yadi)	8.30
Gulani (Tettaba)	10.00
Jajimaji	10.00
Jakusko	8.30
Machina	10.00
Nguru	10.00
Potiskum	10.00
Yunusari	10.00
Yusufari	10.00

MFI RESULTS IN TABLE

Table A1.

Markets	Assortme	Availabil	Price	Resilien	Competitic	Infrastructu	Service	Food Qual	Access & Protecti	Final MFI Sco
Madagali	9.00	0.00	0.80	5.00	10.00	9.30	6.70	10.00	8.30	3.50
Michika	4.00	0.00	2.00	8.60	5.00	5.00	5.00	8.80	10.00	2.90
Yola (Jimeta)	8.00	10.00	5.80	10.00	10.00	8.60	5.00	10.00	10.00	7.00
Bama	8.00	5.00	5.00	8.30	3.30	9.30	3.30	10.00	10.00	5.40
Banki	10.00	4.20	0.00	7.10	10.00	7.10	5.00	10.00	10.00	3.80
Custom	7.50	1.70	4.20	10.00	0.00	0.00	0.00	0.00	0.00	4.00
Damassak	10.00	10.00	0.00	7.50	5.00	7.90	5.00	6.30	10.00	3.70
Damboa	9.00	1.70	3.30	10.00	7.50	2.90	5.00	5.00	10.00	4.10
Dikwa Central Market	10.00	5.00	1.70	5.80	5.00	4.30	5.00	6.30	8.30	3.90
Gajiram	8.00	1.70	5.80	6.30	5.00	4.30	3.30	8.80	10.00	4.00
Gwoza Central Market	10.00	1.70	5.80	6.30	5.00	4.30	3.30	8.80	10.00	4.00
Konduga	10.00	6.70	2.50	6.30	5.00	5.70	5.00	5.00	10.00	4.60
Mafa	7.00	1.70	4.20	6.70	5.00	2.10	3.30	8.60	9.20	3.70
Magumeri	10.00	10.00	5.00	4.20	5.00	3.60	3.30	7.50	10.00	5.20
Monday	8.00	6.70	5.00	9.20	10.00	8.60	5.00	10.00	10.00	6.80
Monguno	10.00	10.00	5.00	7.50	10.00	5.00	3.30	10.00	10.00	5.80
Ngala	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Pulka	10.00	0.80	2.50	7.50	9.20	4.30	3.30	7.50	5.80	3.50
Rann	7.00	1.70	5.00	5.80	0.00	6.40	3.30	8.80	10.00	2.90
Bade (Gashua)	9.00	5.00	4.20	8.30	9.20	10.00	5.00	10.00	10.00	6.20
Bayantasha	10.00	8.30	5.00	7.10	10.00	6.40	5.00	8.80	10.00	6.70
Biriri	9.00	8.30	0.80	7.50	10.00	9.30	5.00	8.80	10.00	4.50
Bursari	10.00	1.70	5.80	7.90	0.80	7.90	3.30	7.10	10.00	3.70
Damagum	8.00	4.20	5.00	5.00	9.20	2.90	3.30	8.80	10.00	4.80
Geidam	8.00	3.30	3.30	8.80	10.00	5.00	5.00	7.50	10.00	5.30
Gadaka	8.00	0.00	2.50	8.30	9.20	5.70	3.30	7.50	10.00	3.30
Gujba (Buni Yadi)	8.00	3.30	0.80	5.80	8.30	5.00	3.30	6.30	8.30	3.40
Gulani (Tettaba)	9.00	7.50	0.00	8.80	1.00	9.30	3.30	8.80	10.00	3.90
Jajimaji	10.00	5.80	5.00	8.80	5.80	7.10	3.30	7.50	10.00	5.40
Jakusko	6.00	2.50	5.80	6.30	8.30	3.60	3.30	6.30	8.30	4.30
Machina	9.00	0.00	5.00	5.00	9.20	8.60	5.00	7.50	10.00	3.50
Nguru	10.00	10.00	4.20	8.80	10.00	7.90	5.00	8.80	10.00	6.50
Potiskum	10.00	6.70	5.80	8.80	10.00	7.10	5.00	7.50	10.00	6.70
Yunusari	6.00	1.70	0.80	6.30	8.30	2.10	5.00	10.00	10.00	3.40
Yusufari	9.00	5.80	3.30	6.70	1.70	7.10	3.30	8.80	10.00	4.20

RESULTS – MAP


MARKET FUNCTIONALITY INDEX 2024
Nigeria, BAY States
WFP
World Food Programme
SAVING LIVES
CHANGING LIVES
N
Abadam
Kukawa
Mobbar
Guzamala
Gubio
Monguno
Marte
Ngala
Kala/Balge
Dikwa
Mafa
Borno
Maiduguri
Konduga
Bama
Nganzai
Magumeri
Yusufari
Machina
Nguru
Karasuwa
Yunusari
Bursari
Geidam
Jakusko
Yobe
Tarmua
Damaturu
Nangere
Fune
Fika
Jigawa
Kaga
Gujba
Gulani
Damboa
Gwoza
Chibok
Biu
Askira/Uba
Madagali
Michika
Mubi North
Mubi South
Hawul
Kwaya Kusar
Bayo
Shani
Gombi
Hong
Maiha
Shelleng
Guyuk
Song
Adamawa
Lamurde
Girei
Numan
Yola North
Fufore
Mayo Belwa
Jada
Ganye
Toungo
Bauchi
Gombe
Kaduna
Plateau
Taraba
Nasarawa
0
75
150 km
LEGEND
0.0 - 1.9 points
2.0 - 4.4 points
4.5 - 5.9 points
6 - 8 points
BAY States LGAs
State Boundaries
International Boundaries
Markets with low risk CBT Interventions
Markets with High risk CBT Interventions
Markets with Very high risk CBT Interventions

CONCLUSION

MFI

The third quarter MFI's highest score is 7.1. The range and the modality suggested by the assessment are as follows:-
MFI score 0.0 to 2.9 - Very low functionality and assessed as very high risk for CBT intervention
MFI Score 3.0 to 5.9 - Low functionality and assessed as high risk for CBT intervention, however, mitigation measures can be adopted to reduce risk.
MFI score 6.0 to 8.0 - Medium to high functionality and assessed as Medium to low risk for CBT intervention, mitigation measures can be adopted to reduce any risk to CBT operation

Michika and Rann

Bama, Banki, Custom, Damasak, Damboa, Dikwa, Gajiram, Gwoza, Konduga, Mafa, Monguno, Biriri, Bursari, Damagum, Geidam, Gulani, Jajimaji, Jakusko, and Yusufari, Madagali, Pulka, Gujba, Yunusari, Gadaka, Machina

Yola (Jimeta), Monday Market, Bade, Bayantash (Damaturu), Nguru, and Potiskum

MFI Score	Remarks
0 – 2.9	Very low functionality with very high-risk for CBT intervention
3.0 – 5.9	Low functionality with high risk for CBT intervention
6.0 – 8.9	Medium to high functionality with low risk for CBT intervention

MITIGATION MEASURES ON MARKETS WITH HIGH RISKS CBT INTERVENTIONS

The suggested dimensions that need mitigation measures from the third quarter MFI assessment are availability, price, and service.

❖ Availability Dimension

- Adequate notice time (2 weeks) to be issued to retailers so as to allow them replenish adequately their stocks in advance. This will increase supply due to the demand proposal to cushion scarcity of commodities in the market.
- Supply Chain to provide better market linkages to advice retailers on procurement and transport services.
- Hybrid modalities (different modalities to the same beneficiaries, splitting the assistance into in-kind and CBT) to complement the missing items.

❖ Price Dimension

- Calculation of the Minimum Expenditure Basket (MEB) and Survival Minimum Expenditure Basket (SMEB) from the monthly market monitoring and frequent review of transfer value if necessary due to price unpredictability.

❖ Service Dimension

- Set up Retailer Capacity Strengthening Training as part of Market Development Activities with plans to improve Vouchers to cash in rural LGAs
- For cash or e-voucher interventions, it is important to make it compulsory for our retailers to display the prices of every item in the retailers' shop.

MFI LIMITATIONS

- 1. MFI does not have a reputable way to represent MFI scores across all markets. The MFI score of 5 in a particular market might not represent the same situation in another market that scores 5.
- 2. The missing figures were due to fewer than 7 traders interviewed.

CHALLENGES

- The availability of partners for data collection posed a significant challenge in 2024, leading to the data collection being conducted at different times for different states. Specifically, MFI data collection was carried out in Yobe State in July and in Borno and Adamawa States in September. This timing difference impacted the real-time nature of the data, potentially influencing decision-making as the findings from each state were collected at varying times. Consequently, this delay in data collection may have affected the accuracy and timeliness of decisions based on the findings, as market conditions could have changed between the assessment periods.

- The data collection in September faced significant challenges due to natural disasters, particularly flooding, which disrupted field activities in many of the Local Government Areas (LGAs) in Borno and Adamawa States. The flooding hindered access to certain areas, including Gamboru Ngala, where no assessment could be conducted.

RECOMMENDATIONS

- Timely recruitment or renewal of partner contracts is crucial for ensuring the continuity of the MFI process. By securing these partnerships in advance, the data collection process can proceed without delays, leading to more timely and reliable data. This, in turn, would enhance the usefulness of the data for decision-making, ensuring that findings are up-to-date and relevant, ultimately supporting more effective and informed actions.

- In 2025, proper planning should include expanding the MFI to cover additional WFP operational locations in Northwest such as Katsina, Sokoto, and Zamfara. This will provide a more comprehensive view of the market conditions, enabling more informed decisions regarding interventions. Furthermore, it is essential to assess the status of the markets both before and after the rainy season to capture seasonal variations. This approach will ensure that management has timely and relevant data to make well-informed decisions at each stage, improving the effectiveness of interventions and better supporting program objectives.

Market Functionality Index Report
Data collected in July/ August (Yobe) September/October (Adamawa & Borno) 2024
Report issued in December 2024/January 2025
For more information - https://dataviz.vam.wfp.org
World Food Programme, Nigeria

RAM NGCO	**Supply Chain NGCO**
Wuni DASORI – Head of RAM	Khusro JAWED – Head of Supply Chain
Haruna USMAN – VAM Associate	Haruna GONI – SC/CBT Officer